

Economics

↓
Limited Resources &
unlimited Demands are
not fulfill at its
Economics

Economy

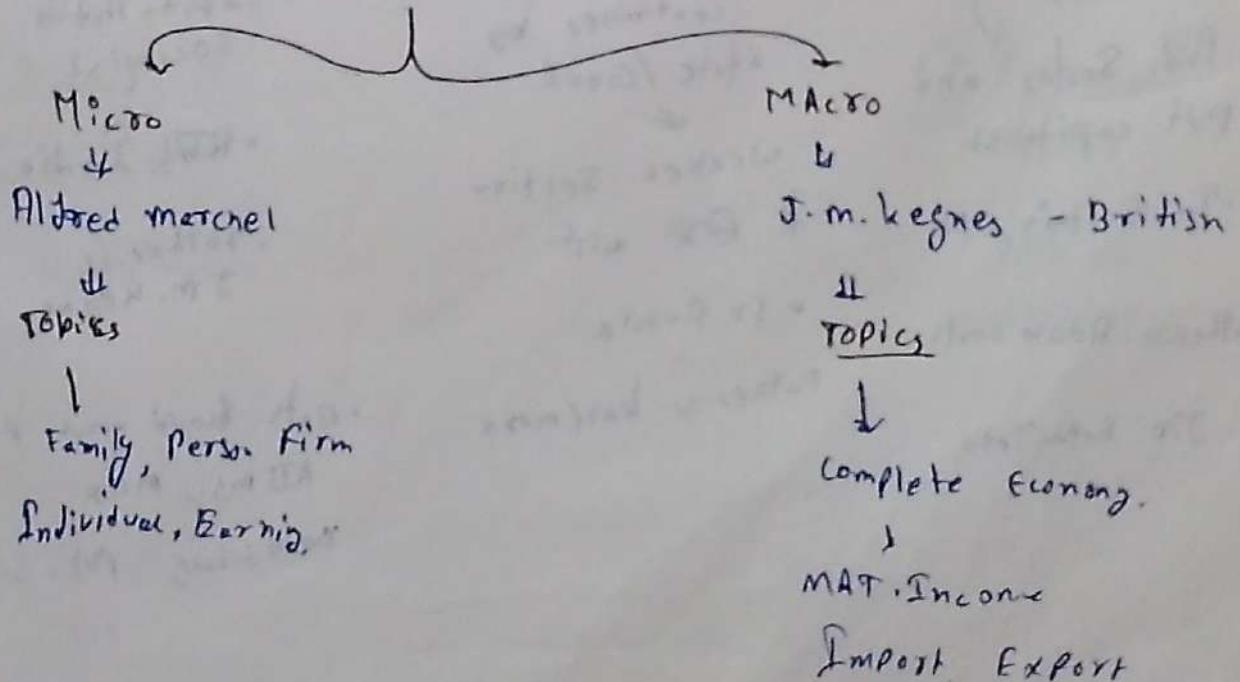
↓ Economics
Area to Apply
of Economy
E.g. Economy of India
" " China

Economy ⇒ Economy is the system in which a country or region
produces, distributes and consumes goods and
services using its limited resources

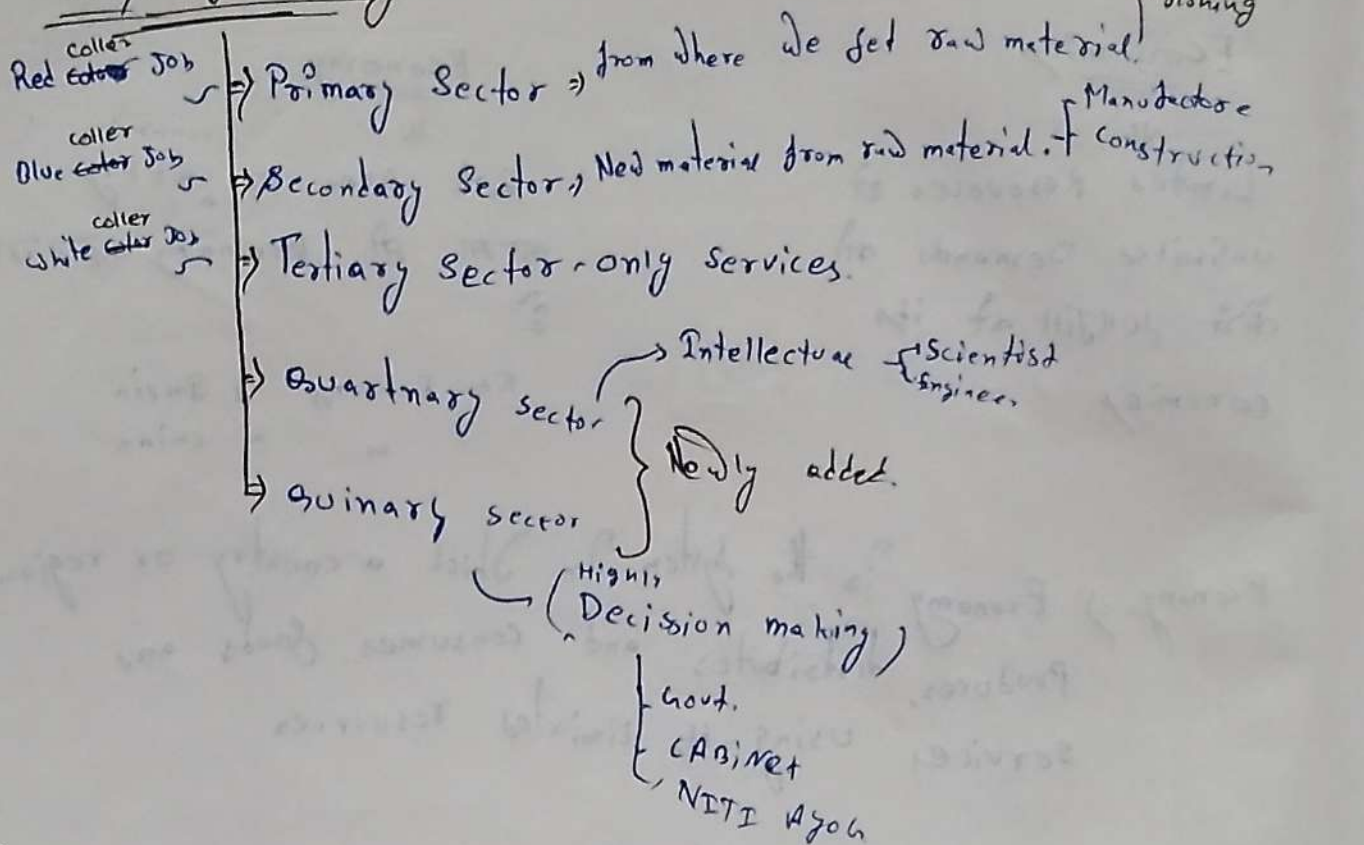
Father of Economics ⇒ Adam Smith
He wrote a book The Wealth of Nations
in 1776 AD.

↓
also known as
Science of wealth.

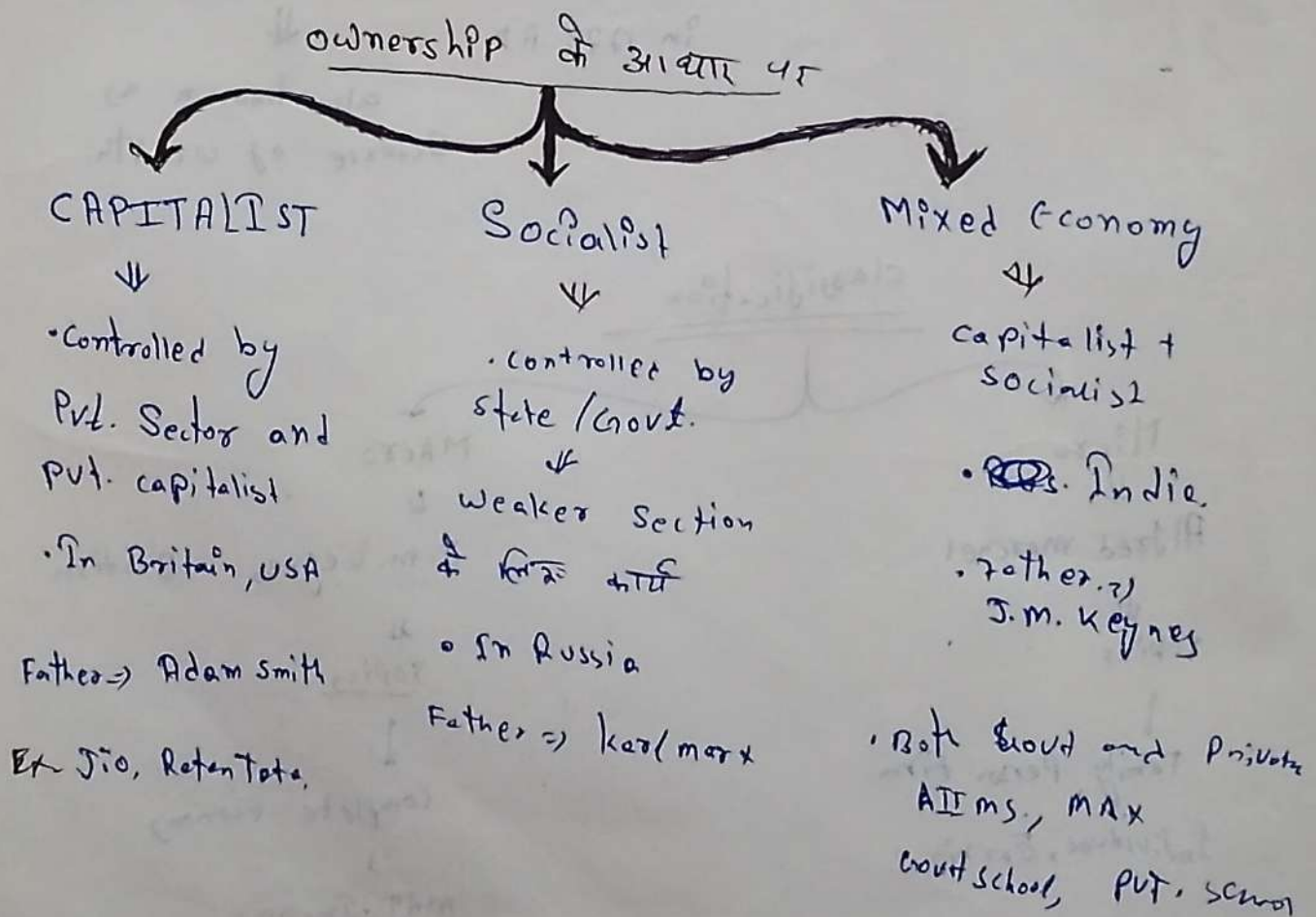
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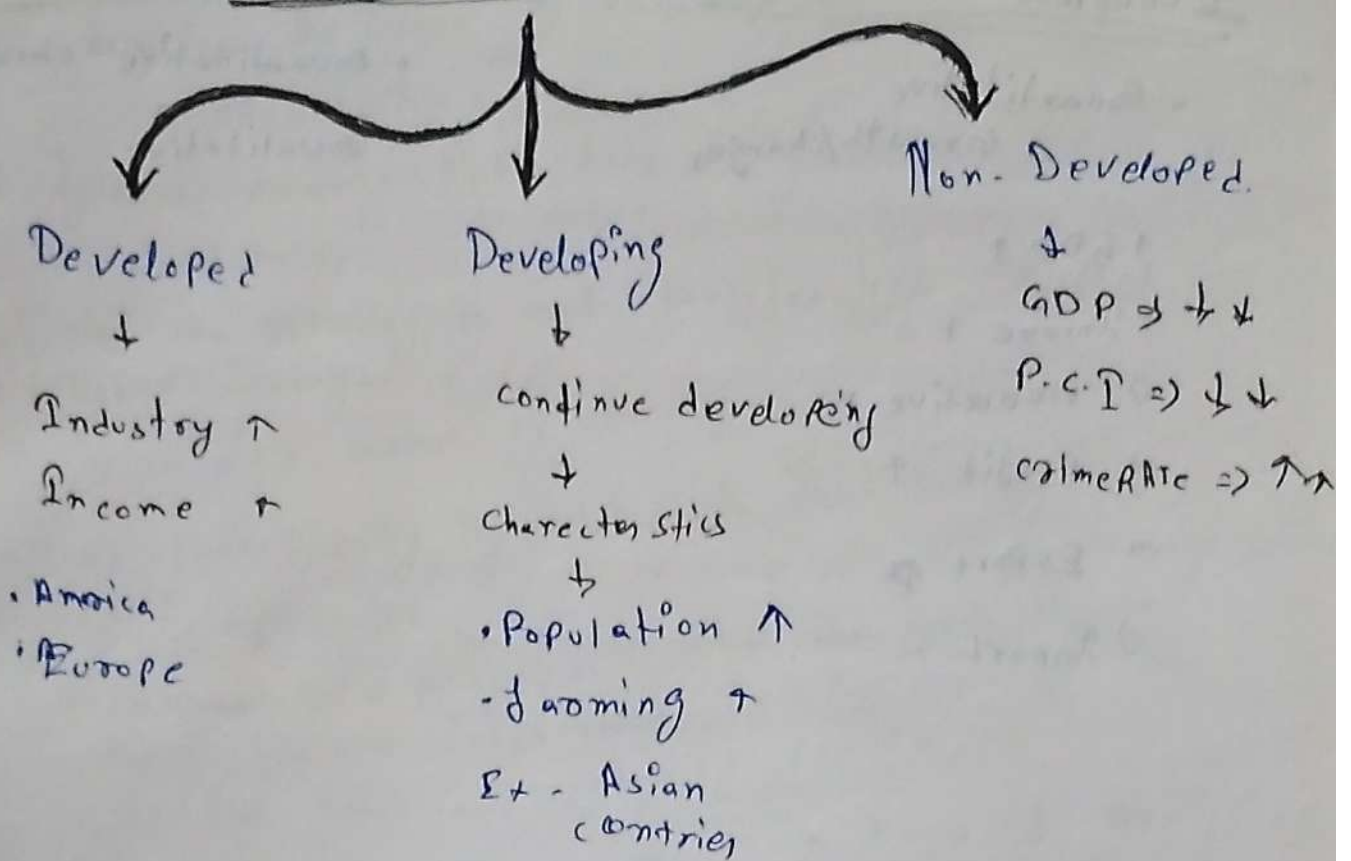
Sectors of Economy



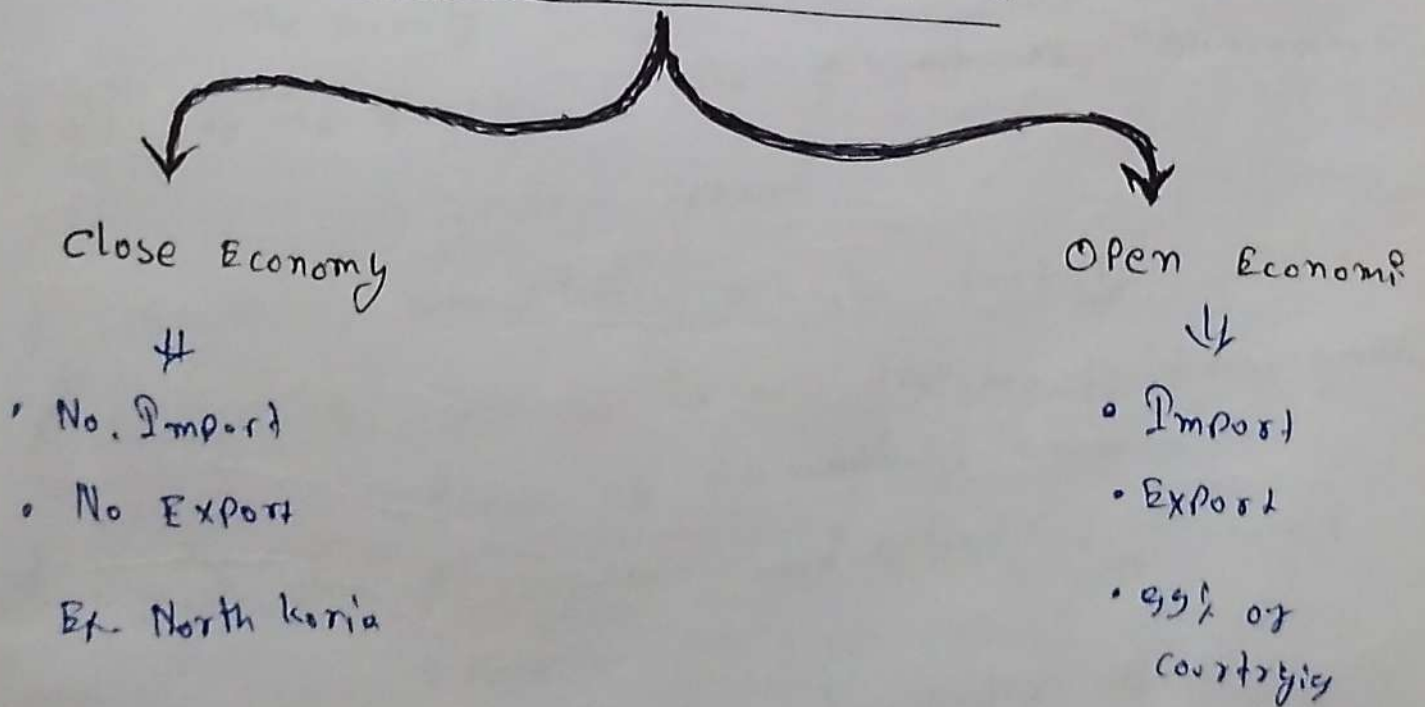
Types of Economy



Development & उन्नति



Internal Trade & आंतरिक व्यापार



Economic Growth

- Quantitative growth/changes

⇒ GDP ↑

⇒ Income ↑

⇒ Productive ↑

⇒ Profit ↑

⇒ Export ↑

⇒ Import ↓

Economic Development

- Quantitative changes
+
Qualitative "

$$\text{Economic Growth Rate} = \frac{\text{Current GDP} - \text{Last GDP}}{\text{Last GDP}} \times 100$$

Question from this chapter :-

1. Who is considered the father of Economics :-

⇒ Adam Smith

2. What type of economy India has :-

⇒ Mixed

3. Which of the following is not characteristics of a capitalist economy?

⇒ complete control of the govt.

4. "Laissez-faire" policy is related to which economy?

⇒ Capitalist

⇒ Laissez-faire policy means that the govt. should have minimum intervention in the economy. This is the basic concept of capitalism.

5. The concept of "scarcity" is the main basis of what?

⇒ Economics

The scarcity of resources and best utilization.

6. Which of the following is the subject of "microeconomics"?

⇒ Individual demand.

7. Full form of GDP ⇒ Gross Domestic Product

8. Which of the following is not included in "Gross Investment"?

⇒ Repair of old ~~machines~~ machines

9. When was the planning commission established in India?

⇒ 1950

10. Which of the following is a characteristics of a Socialist economy?

⇒ central planning

2) In a social economy, allocation of resources is based on central planning.

Q.11 When is NITI Aayog established?

⇒ 2015

Q.12 "Opportunity cost" means!

⇒ cost of forgone alternative.

⇒ When we give the option we choose an option we give up the second best option. that is opportunity cost.

Q.13 What are the macroeconomics problems?

What to produce —

How to produce —

For whom to produce —

Q.14 Which of the following is not a type of economy?

⇒ Dualist.

We only have

- capitalist
- communist
- mixed.

Q.15 Marshall defines economics as :-

⇒ Science of human welfare.

Q.16 Price mechanism is the main feature of which system?

⇒ capitalist

• In a capitalist economy, resources are allocated according to the price mechanism —

Q.17 National income is measure of what.

⇒ Economy Performance.

Q.18 What is green GDP? —

⇒ GDP taking into account the environment.

Q.13) Efficiency The maximum and best use of resources is done, it is called efficiency.

Q.14) What is the best use of resources?
a) Efficiency.